TECH · AI · US-CHINA COMPETITION

RESEARCH NOTE

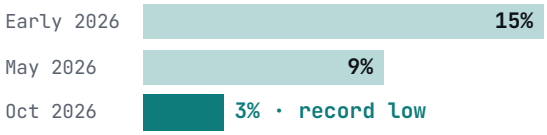
DeepSeek pulls China to within 3% of the US AI frontier — but a 1,100-model price war pushes profits out to 2030

Bloomberg Intelligence (Robert Lea) via Bloomberg News · Published 4 Oct 2026 | Brief prepared 24 Oct 2026

EXECUTIVE SUMMARY

Bloomberg Intelligence (BI) estimates that China's best AI models now trail the top US systems by just 3% on benchmark scores — a record low, down from about 9% in May and 15% at the start of 2026. The latest step came from DeepSeek's V4.1 Flash, released 10 Sep, which scored 81.1 on the LiveBench leaderboard against 83.4 for the leading Anthropic model and ranked sixth worldwide. BI credits deeper Chinese expertise and tuning for domestic chips — undercutting the premise of US export controls — and expects Chinese labs to keep taking share. The catch: the sector may not turn a profit until around 2030, as more than 1,100 domestic models fight a token price war. For buyers, near-parity at a fraction of the price squeezes the premium US labs charge, just as Anthropic and OpenAI prepare for IPOs.

CHINA'S BENCHMARK GAP TO TOP US MODEL



Approximate figures from BI; latest reading follows DeepSeek V4.1 Flash (Sep).

NUMBERS AT A GLANCE

81.1 vs 83.4
LiveBench total: DeepSeek V4.1 Flash vs leading Anthropic model

3 of 15
Chinese models in LiveBench's top 15 — the US still dominates the upper tier

42–83×
Output-price multiple: Claude Fable 5.1 ($50/M) vs V4.1 Flash ($0.60–1.20/M)

~2030
BI's earliest profitability horizon for China's AI sector

Key facts 01

- BI senior analyst **Robert Lea** puts the China–US top-model gap at 3%, from ~9% in May and ~15% early in the year.
- Basis: **LiveBench**, a public leaderboard that scores models on questions, puzzles and tasks.
- **DeepSeek V4.1 Flash** scored 81.1, ranking 6th globally — the best Chinese placing since R1 in 2025. Top Anthropic model: 83.4.
- BlockTempo's reading of the raw table: leader **Claude Fable 5.1** is ahead by 2.3 pts (~2.8%), which rounds to BI's 3%.
- Category split (BlockTempo): V4.1 Flash **leads agentic coding** 77.3 vs 66.1, but trails on reasoning 86.7 vs 91.7 and language 81.2 vs 89.5.
- Only 3 of LiveBench's top 15 models are Chinese.
- V4.1 Flash: released 10 Sep; 552B-parameter MoE with 8B/16B active (input/output); ~1M-token context; native vision; open weights, MIT licence.
- Since 14 Sep, DeepSeek routes all V4 Pro API calls to V4.1 Flash at Flash prices.
- Output price: V4.1 Flash $0.60/M off-peak, $1.20/M peak; Claude Fable 5.1 $50/M.

Timeline 02

27 Jan 25	DeepSeek R1 triggers a $589B one-day drop in Nvidia's market value.
Jan 26	US BIS moves H200 / MI325X export reviews to case-by-case approval.
Early 26	BI gap reading: ~15%.
May 26	Gap narrows to ~9%.
10 Sep 26	DeepSeek releases V4.1 Flash; retires V4 Flash.
14 Sep 26	V4 Pro traffic rerouted to V4.1 Flash.
4 Oct 26	BI report: gap at 3%, a record low.
27 Oct 26	Mistral Large 4 public release (scheduled).

Context & background 03

DeepSeek first jolted markets in January 2025, when R1 wiped $589B off Nvidia in a single session — a move later framed as an aberration. BI's data points to a pattern instead: the gap closed in three steps inside one year, and DeepSeek now tops the leaderboard on agentic coding while still trailing on reasoning and language.

The policy backdrop has shifted too. Washington's strategy rested on denying China top-end chips, yet a January 2026 BIS rule eased reviews for Nvidia H200 and AMD MI325X exports, and officials have been chasing a loophole that lets Chinese firms rent GPU capacity in Southeast Asia. BI says Chinese researchers have adapted by optimising models for domestic hardware.

Analyst view 04

> *"casts further doubt on the long-term sustainability of US technological supremacy in AI."*
>
> — Robert Lea, Bloomberg Intelligence (via Briefs.co)

Lea frames V4.1 Flash as performing on par with top Anthropic and OpenAI systems, and expects further share gains for Chinese contenders. His fix for China's profit problem: less competitive pressure, consolidation and more rational pricing.

Key players 05

NAME	ROLE	RELEVANCE
Robert Lea	BI analyst	Author of the 3% estimate and 2030 profit call
DeepSeek	CN lab	V4.1 Flash drove the latest narrowing; preparing a STAR Market IPO
Anthropic	US lab	Claude Fable 5.1 tops LiveBench; IPO prep at a trillion-dollar valuation
OpenAI	US lab	Frontier peer cited by BI; also preparing an IPO
ByteDance	CN app	Doubao: BI's example of a Chinese AI product that monetises
Tencent	CN platform	Chatbot still free — a symptom of the price war
US BIS	Regulator	Chip-export regime whose effectiveness BI questions

Impact & outlook 06

NEAR TERM

Near-parity at one-fortieth the price or less weakens the case for premium US frontier pricing — a sensitive point as Anthropic and OpenAI court IPO investors. Western open-weight answers are arriving: Reflection's **501B** Beam and Mistral's **1T**-parameter Large 4.

LONGER TERM

BI expects Chinese labs to keep gaining share, but China runs two races at once: closing the last few points, and building a business. With **1,100+** models selling low-margin tokens and DeepSeek and Tencent chatbots still free, no player has a moat; consolidation looks like a precondition for profit.

CAVEATS Single benchmark; aggregate scores mask category gaps; rankings move with each release; per-token price is not per-task cost, since models use different token counts.

Watch list 07

- → DeepSeek V4.1 Pro — no release date given
- → Mistral Large 4 public release, **27 Oct**
- → DeepSeek STAR Market IPO filing
- → Next LiveBench refresh and BI follow-up
- → US export-control moves; consolidation among Chinese labs

SOURCES

1. Bloomberg News, "US Lead in AI Over China Narrows After DeepSeek Gains, BI Says," 4 Oct 2026 (paywalled; summary used) — bloomberg.com/news/articles/2026-10-04/us-lead-in-ai-over-china-narrows-after-deepseek-gains-bi-says
2. BlockTempo via KuCoin News, 6 Oct 2026 — LiveBench breakdown, pricing — kucoin.com/news/flash/bloomberg-china-u-s-ai-performance-gap-narrows-to-3-profitability-expected-by-2030
3. YourStory, 5 Oct 2026 — yourstory.com/ai-story/deepseek-china-ai-gap-us-3-percent
4. Startup Fortune, 5 Oct 2026 — R1 history, export rules — startupfortune.com/deepseek-narrows-ai-gap-with-us-to-just-3-percent-bloomberg-says
5. Briefs.co — Lea quote — briefs.co/news/chinese-ai-models-close-in-on-u-s-as-performance-gap-hits-re
6. MarketingProfs AI Update, 9 Oct 2026 — Reflection, Mistral — marketingprofs.com/opinions/2026/56118
7. The Standard / Reuters — V4.1 Flash launch, IPO prep — thestandard.com.hk/finance/article/342395
8. TechNews, 10 Sep 2026 — V4.1 Flash architecture — technews.tw/2026/09/10/deepseek-v4-1-flash-smarter-faster-more-efficient
9. Yotta Labs — V4 Pro routing — yottalabs.ai/post/deepseek-v4-1-flash-pricing-specs-v4-pro-routing-2026